Calderwood Partners LLC

www.calderwoodpartners.com

July 30, 2013

James Keller
Director of Operations
Walker-Murray

Re: Working Capital Program for Walker-Murray

Dear Mr. Keller:

This letter sets out the terms on which Calderwood Partners will advise Walker-Murray on the management of its working capital, and asks for your signature so that the work can begin. We have put the whole of the agreement in this one letter rather than split it across a separate schedule, so that nothing governing the engagement sits somewhere you would have to go looking for it. Read it as the complete statement of what we will do and on what basis; nothing said in our earlier conversations survives it except where this letter repeats it. Where a term is the ordinary one for work of this kind we have said as much, and where it bears on the fee or the schedule we have made it specific.

The engagement

The purpose of the work is to reduce the cash Walker-Murray has tied up in its operating cycle without disturbing the parts of the business that generate that cash. In practice we will examine three positions. The first is what the company is owed and how long collection takes. The second is what the company owes and the terms on which it actually pays. The third is the inventory held against demand. The result we are engaged to deliver is a set of changes your management can act on, each stated with the cash it is expected to release and the operational cost of making it, so that the decision to proceed rests on evidence rather than on a general sense that working capital is higher than it should be. We are not engaged to carry the changes out; the recommendations and the case behind them are ours to build, and the decision to act on any of them stays with your management.

How the work will run

We work from your own records, not from figures carried in from other companies. The early weeks are given to assembling and reconciling the receivables, payables, and inventory data, because a recommendation is only as good as the numbers under it, and records of this kind usually need cleaning before they can be relied on. From there we test where cash is genuinely trapped as opposed to merely resting where the accounting places it. You will see the analysis in pieces as it is built rather than as a single report at the end. That is deliberate: it gives your team the chance to correct a wrong assumption while it is still cheap to correct, and it means the final recommendations reach you already tested against how the business actually runs. We bring findings to your team in working sessions as they firm up, so your people can test them while the analysis is still open to correction.

The team

Jason Torres, Principal, will lead the engagement and is accountable for its direction and for what we bring to you. Brenda Rodriguez, Senior Consultant, will carry the analysis; her practice is to state what an assumption rests on before she asks anyone to rely on the conclusion built from it. John Vasquez, Research Associate, will assemble the sector and operational background the analysis draws on. The three of them stay on the file from the first meeting to the last, and you will not be introduced to one team and then handed to another once the work is under way.

Fee and start

Our fee for the engagement is a fixed $30,000, which covers all professional time on the work described above. We expect to begin on August 9, 2013 and to run for roughly seven months. The fee is fixed for that scope. If you ask us to take on work beyond it, we will agree the additional fee with you in writing before the work is done, not afterward.

Fees and payment

We invoice the fixed fee in equal monthly amounts across the term, each invoice payable on receipt. Reasonable out-of-pocket costs, such as travel to your sites, are billed at cost and shown separately from the fee; we do not bill for internal administrative time. If you dispute part of an invoice, tell us the part in question and pay the remainder while we settle it.

Term and termination

The engagement runs for the period described above unless one of us ends it sooner. Either party may terminate on reasonable written notice to the other. If you terminate, you owe the fee earned to the date the notice takes effect, prorated against the work completed, together with expenses already incurred, and nothing for work not yet performed. We would expect to raise any serious difficulty with you well before it reached that point.

Confidentiality

Everything we learn about Walker-Murray in the course of the work, whether financial, operational, or personal to your staff, is held in confidence and used only for the engagement. We will not disclose it beyond the team named here without your consent, except where the law compels disclosure, and in that case we will tell you first if we are permitted to. The obligation continues after the engagement ends, and the same duty applies to you in respect of our methods and working papers.

Limitation of liability

Our advice is professional judgment applied to the facts as we find them, and the decisions taken on it remain yours. To the extent the law allows, our total liability for any claim arising out of the engagement will not exceed the fees actually paid to us for the work that gave rise to it, and we will not be liable for indirect or consequential loss. Nothing in this paragraph limits a liability that cannot lawfully be limited, including one arising from our own fraud or willful misconduct.

Governing law

This agreement is governed by the laws of the state in which the firm maintains its principal office, without regard to its conflict-of-laws rules. Any dispute we cannot resolve between ourselves will be submitted to the courts of that state, and we each consent to their jurisdiction.

If these terms match your understanding, please sign both copies where indicated below, keep one for your records, and return the other to this office; we will begin on the date set out above. If any part of them does not, telephone me before you sign and we will settle it directly, in conversation rather than through a round of redrafts. We are glad to be taking on this work for Walker-Murray, and I will be reachable throughout should you prefer to raise a matter with me rather than with the team.

Very truly yours,

Julie Ramsey
Managing Principal
Date: July 30, 2013

James Keller
Director of Operations, Walker-Murray
Date: July 30, 2013